

# Channel Opacity and the Survival of Legal Change

## Why Reform Endures Where No One Reads It in Argentina's Rural Land Regime, 2011-2026

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### Abstract

On 5 August 2026 the Argentine governing coalition withdrew from its Inviolability of Private Property bill the chapter reforming the rural land regime of Law 26,737, having concluded that the votes were not there. It marked another failed attempt to alter the regime through a publicly exposed national instrument. The only durable liberalizing modification in the 2011-2026 series, Decree 820/2016, was executed through the regulatory channel and has survived for a decade.

This paper argues that the four documented attempts to alter the regime between 2011 and 2026 are consistent with channel-opacity selection: reforms opposing the incumbent land-sovereignty meme survived only when processed through a low-visibility administrative channel. The surviving modification was also substantively important. Rather than raise a ceiling, Decree 820/2016 changed the operative definition of foreign ownership, altering the measurement artifact while leaving the statutory enunciation intact. The paper develops this mechanism as a rival explanation and derives predictions that distinguish it from a standard institutional-design account.

Three subsidiary contributions follow. First, the case exposes a measurement problem of general reach: when the regulated stock remains far below an aggregate ceiling, observed compliance cannot reveal whether the ceiling is effectively enforced. Argentina's aggregate 15 percent ceiling is not binding at the observed national stock level of roughly 5 percent. Second, the case suggests a sovereign-side analogue to James Scott's hidden transcript: public resistance occupied the visible channel, while the executive pursued change through instruments of lower public legibility. Third, replacing a blunt quota with case-by-case screening is not institutionally neutral. Where oversight and administrative capacity are weak, additional discretionary approval points create a governance risk that must be assessed rather than assumed away. The paper presents that last proposition as a conditional hypothesis, not as an established empirical result.

Findings from Argentina's national external audit of the rural land registry are incorporated where they bear on these claims, with the qualifications their audit period requires.

The paper registers five dated predictions with explicit falsifiers. The sharpest predicts that a technically corrected reform incorporating federal screening, beneficial-ownership identification, and a national floor for cross-boundary risks would still fail if presented through the legislative channel. That result would support the claim that design was not the binding constraint; passage would seriously compromise the channel-opacity account.

Keywords: channel opacity; legal change; regulatory opacity; extended phenotype theory of law; foreign land ownership; Argentina; institutional persistence; evolutionary game theory; administrative discretion; rural land regulation.

**JEL:** K11, K23, D72, D73, Q15.

## 1. The puzzle

### 1.1 The episode

The Argentine executive advanced during 2026 a bill on the Inviolability of Private Property whose Chapter III substantially reformed the regime of Law 26,737 on protection of national dominion over the ownership, possession, or tenancy of rural land.

The official committee report issued in May 2026 delegated quantitative limits to the provinces and retained special restrictions on acquisitions by foreign States or State-linked entities. The amended text circulated on 3 August, according to the published committee document reproduced by contemporaneous press accounts, instead proposed an aggregate ceiling of 25 percent of each province's rural surface, prohibited acquisition by foreign States, permitted acquisition by foreign-capital companies subject to provincial consent and national executive authorization, and required special registration of foreign acquirers. The distinction matters: the 25 percent figure belongs to the later amended text, not to the May committee report (Senate Order of the Day 104/26; *Ambito Financiero*, 3 August 2026).

The bill had been postponed four times. The fourth postponement occurred on 16 July 2026, when the coalition, lacking the votes, asked that the matter be moved to 6 August.

On 5 August 2026, in a meeting of the enlarged governing bloc and its allies, Chapter III was withdrawn to unblock the following day's session.

Three concurrent factors are documented in the contemporaneous coverage cited at the end. First, express instructions from governors regarded as allied or willing to negotiate, directing their senators to vote against, including those of Tucumán, Neuquén, and Misiones, with critical positions also from Salta. Second, the defection of at least four senators previously counted as possible supporters. Third, a social and communicational mobilization that translated the chapter's parametric content into the claim that the national territory was being surrendered.

### 1.2 The regime

Law 26,737 was enacted in December 2011. Its operative regime comprises five restrictions.

1. An aggregate ceiling of 15 percent of rural land in foreign ownership, computed under article 8 over the national territory and also over that of the province, the municipality, or the equivalent administrative unit. The “department” employed throughout this paper and in the official statistics is the equivalent administrative unit as applied by the Registry, not a category of the statutory text.
2. A ceiling of 30 percent of that quota per foreign nationality, equivalent to 4.5 percent of the total at each level (article 9).
3. An individual ceiling of 1,000 hectares per foreign holder in the core productive zone, with provincial equivalences set by productivity (article 10).
4. An absolute prohibition on foreign ownership of rural properties containing or riparian to large permanent bodies of water (article 10).
5. A differentiated, and not prohibitive, regime for properties in frontier security zones. Article 10 subjects them to the exceptions and procedures of decree-law 15,385/44, and article 13 requires prior consent of the Ministry of the Interior. This is conditional prior authorization, not absolute prohibition. Much of the 2026 public debate assumed otherwise.

The law further declares that acquisition of rural land does not constitute an investment for the purposes of bilateral investment treaties (article 11), and creates a National Registry of Rural Land whose clearance certificate is a condition of the transaction (article 14).

Article 154 of Decree of Necessity and Urgency 70/2023 repealed Law 26,737. The subsequent procedural history runs as follows. In January and February 2024 article 154 was preventively suspended in a class action brought by the Centre of Malvinas Islands Veterans. On 5 February 2024 Federal Court No. 4 of La Plata dismissed the action for lack of standing and lifted the injunction. On 21 March 2024 Chamber III of the Federal Court of Appeals of La Plata reversed, admitted the claim, and declared article 154 unconstitutional.

The current force of Law 26,737 rests on two related appellate decisions that must be kept distinct. On 21 March 2024 Chamber III of the Federal Court of Appeals of La Plata declared article 154 unconstitutional on the merits. On 14 May 2024 the same chamber, in the precautionary incident, confirmed suspension of article 154 until final disposition of the case. The National Executive filed an extraordinary appeal on 10 April 2024; it was partially granted on 14 May with suspensive effect, and the case was lodged before the Supreme Court’s Judicial Secretariat No. 4 on 15 May 2024. No later published merits disposition was located by the information cutoff (Federal Court of Appeals of La Plata, CECIM La Plata v. National Executive; Ministry of Justice Resolution 318/2024; Auditoria General de la Nacion, Report 015/2025).

### 1.3 The facts of application

According to the National Registry of Rural Land, foreign ownership in August 2026 reached approximately 13.3 million hectares, close to 5 percent of the rural surface, distributed across 23 provinces. The figure grew by roughly 6.25 percent since 2018, when the registry recorded 12.5 million hectares.

No province exceeds the 15 percent ceiling. Thirty-one departments do, and fourteen of those exceed even the 25 percent ceiling that the withdrawn reform proposed as the new limit. The recorded extremes are San Carlos, in Salta, at 59.8 percent, and Molinos, in the same province, at 57.8 percent; Lácar in Neuquén, General Lamadrid in La Rioja, and Campana in Buenos Aires also exceed 50 percent.

## 1.4 The question

The question this paper poses is not whether the reform was good. It is of a different order.

Why does a statute whose aggregate ceiling is not binding at the observed national stock level, whose local ceiling is exceeded in thirty-one departments without a statutory mechanism for reducing the existing stock, and whose current force depends on contested litigation, prove politically immovable for a government holding legislative initiative and allied governors?

Stated this way, the question exposes its own answer. What resisted was not the statute. It was something else, which the statute expresses partially and defectively. Identifying that something, and explaining why the channel through which one attacks it determines the outcome, is the object of what follows.

## 2. Meme and vehicle: a decoupling

The most common analytical error in applying extended phenotype theory to law consists in identifying the meme with the normative text. A text is a transmission vehicle, one among several, and its fate may diverge from the fate of the meme it carries (Dawkins 1982).

Two objects are distinguished here.

**Meme M:** *Argentine land must not pass into foreign ownership.* A replicable unit of normative information, transmissible in a single sentence, requiring no legal or economic training for its comprehension or, what matters more, for its faithful retransmission.

**Vehicle V:** the articles of Law 26,737 and its implementing regulations, that is, the translation of M into quantitative ceilings, territorial prohibitions, and an administrative registry.

The distinction is operative, not rhetorical, for two reasons.

First, M and V have separable fitness. Section 3 shows that the aggregate data do not identify the ceiling's regulatory effect and that the departmental margin contains a structural gap between prospective control and the existing stock. Sections 4 through 6 argue that M exhibits high transmission fitness across institutionally diverse channels. The divergence is the paper's proposed mechanism, not an independently measured result.

Second, **selection operates on different objects in different channels.** A judge deciding a class action selects over V. A senator deciding his vote selects over M, because what will be imputed to him publicly is not that he raised a ceiling from 15 to 25 percent but that he

voted to hand over the land. That asymmetry between the formal object of the decision and the effective object of the imputation drives the entire result.

This is an inference rather than a finding, and it rests on two premises worth stating openly: that political imputation is formulated over categories of low complexity and high symbolic charge rather than over regulatory parameters, and that the senator anticipates the imputation when deciding. Both are consistent with the literature on concentrated benefits and diffuse costs (Olson 1965; Wilson 1980) and with the behaviour observed on 5 August. Neither was independently tested here.

## 2.1 The extended phenotype of M

Mapping the phenotype matters because the channel-opacity hypothesis depends on the existence of multiple institutionally distinct transmission routes.

**Normative expressions.** Law 26,737 and Decrees 274/2012 and 820/2016. The frontier security zone regime of decree-law 15,385/44 and Law 23,554 on National Defence, in force since 1944 and therefore predating the current vehicle by six decades. Article 124 of the Constitution, establishing original provincial dominion over natural resources. Article 75, subsection 15, on fixing the limits of the territory, and subsection 17, on indigenous communal possession, reinforced by ILO Convention 169. Minimum environmental standards on forests and glaciers (Laws 26,331 and 26,639). Provincial initiatives on fiscal land, in progress during 2026. The existence and hierarchy of each instrument is documented in the sources listed at the end. Their attribution to a single meme is the author's inference, and a contestable one, since they were enacted by different coalitions in different contexts.

**Material and administrative structures.** The National Registry of Rural Land, the provincial property registries, and notarial intervention, which functions as a compulsory control point because the clearance certificate is a condition of the deed. Note that this subset of the phenotype is the most expensive to build and the easiest to neutralize, because it depends on low-visibility administrative decisions. Section 5 returns to this.

**Non-legal transmission structures.** School curriculum and the civic calendar, in which territorial sovereignty is compulsory content and the Malvinas question operates as an affective core radiating across the whole category of national territory. Political iconography, which is transversal: the meme replicates with equal efficiency within Peronism, conservative nationalism, the left, agrarian traditionalism, and the military tradition. That transversality is decisive, because it implies that no actor's electoral defeat extinguishes the channel. The composition of the 5 August rejection bears this out, having cut across Peronism, the Radical Civic Union, the PRO, and the provincial blocs. Territorial organizations, indigenous communities, and environmental groups, of low aggregate capacity but high local activation and privileged access to collective judicial remedies. The federal judiciary through the class action, which the article 154 case shows capable on its own of neutralizing a repeal by decree for over two years. Provincial executives, which 5 August revealed to be not one channel among many but the conversion channel: the one that translates diffuse pressure into counted votes, because equal senatorial representation

by province and gubernatorial control over senators convert territorial salience into veto power in very few intermediate steps.

The resulting phenotype is broad, old, hierarchically dispersed, and above all **not hierarchically dependent**. No expression is a condition of the others. Law 26,737 can fall and the meme survives in the Constitution, the curriculum, the frontier regime, provincial legislation, and the iconography.

### 3. The non-binding restriction: a general measurement problem

#### 3.1 The aggregate margin

The standard formulation for an implementation gap is

$$IG = 1 - (\text{Compliance rate} \times \text{Enforcement rate})$$

Applied to the aggregate 15 percent ceiling, the formula yields no interpretable result, and that is the relevant observation.

At the observed national stock level, roughly 5 percent against a 15 percent ceiling, the aggregate restriction is not binding. That fact does not establish either rigorous enforcement or unenforceability: the same observed stock is compatible with both. The defensible conclusion is therefore narrower than an enforcement-rate estimate. The aggregate data do not identify the ceiling's causal or regulatory effect.

From this follows a measurement proposition of general reach.

When a regulated stock remains well below a ceiling, aggregate compliance alone does not identify the ceiling's regulatory fitness. Evidence on marginal transactions, denied clearances, avoidance, or counterfactual behavior is required.

Evidence of that kind is partially available, and it points in one direction. Argentina's national external audit body, the Auditoría General de la Nación, followed up on the National Directorate of the National Registry of Rural Land and the National Directorate of Technical Border Affairs. Its official 2025 executive report classifies as not regularized the recommendation requiring effective controls over the viability of investment projects submitted for exceptional prior conformity in frontier security zones. Contemporaneous coverage of the report quotes the underlying finding more specifically: during the audited period, one hundred percent of the investment projects submitted through that procedure were approved without technical evaluation or viability analysis. The official report also records that recommendations concerning a consolidated frontier-zone ownership database, homogeneous provincial cadastres, and the federal water map remained not regularized. Published coverage supplies the additional detail that files processed between 1989 and 2006 remained outside the database. Of thirteen recommendations followed up, two were regularized, one of them after the audited period; one was partially regularized; nine were not regularized; and one was not exigible for the audited period.



Three qualifications are owed. The follow-up formally covers 2017 to 2019 and draws on observations from the earlier audit; it therefore documents historical administrative conditions rather than the registry's condition at the 6 August 2026 information cutoff. The approval figure concerns investment projects in the exceptional prior-conformity procedure for frontier security zones. It does not establish that clearance certificates are never denied on quota grounds, which remains unverified. Finally, the official executive report and press card were consulted directly, while the more granular approval and archival details come from contemporaneous coverage that quotes the underlying report.

Subject to those qualifications, the audit supplies evidence that aggregate stock data cannot. It shows that at least one discretionary approval mechanism in the same regulatory field lacked the prescribed evaluative controls during the audited period. It does not establish non-enforcement of the quota ceiling or that every clearance-certificate stage lacked substantive review. It does, however, weaken the assumption that administrative screening points operate as effective filters merely because the governing text creates them.

This is not a technicality. For fifteen years the public debate focused on a ceiling that stood well above the observed aggregate stock. The controversy of August 2026 concerned raising the ceiling from 15 to 25 percent while recorded foreign ownership was roughly 5 percent. The political intensity of that non-binding aggregate change motivates the paper's central hypothesis: public actors were responding to the symbolic proposition carried by the statute, not only to the immediate quantitative effect of the proposed threshold.

### 3.2 The departmental margin

Here the restriction does bind, and binds badly.

Thirty-one departments exceed the 15 percent ceiling and fourteen exceed 25 percent. Law 26,737 contains no divestment remedy: it provides no expropriation, no forced sale, and no adjustment period for situations consolidated above the quota. The sole consequence of exceeding the ceiling is that the Registry will not issue a clearance certificate for **new** acquisitions in that department.

At the departmental margin, the statute combines prospective control with no divestment mechanism for an existing stock above the ceiling. The Registry can withhold clearance for new acquisitions, but the statutory text supplies no direct mechanism for reducing already consolidated holdings. This is a structural implementation gap. Its magnitude cannot be inferred from the share of departments below the ceiling or assigned a defensible numerical enforcement rate without transaction-level Registry data.

### 3.3 A refinement of the zombie-law category

The literature on entrenched but unenforced norms treats them as a single type. The case suggests a distinction worth incorporating.

**The zombie equilibrium has two variants.** In the standard variant, the norm commands something that is not complied with. In the variant observed here, the norm commands something that need not be complied with, because the

restriction does not bind, and simultaneously omits to command what would be needed, because it carries no remedy at the margin where it is in fact violated. The first variant is an enforcement problem. The second is a problem of instrument design, and it is worse, because an enforcement diagnosis will not correct it.

The distinction is proposed rather than demonstrated; it rests on this single case.

San Carlos, in Salta, stands at 59.8 percent. Law 26,737 can block additional registered acquisitions there, but it supplies no mechanism for reducing the existing stock. The department therefore illustrates the distinction between prospective control and remedial capacity at the margin where concentration is already high.

#### 4. Channel redundancy

The meme's resilience is plausibly related to the number and institutional diversity of the routes that carry it. The map below is descriptive. It identifies channels supported by the case record without assigning numerical capacities or claiming a calibrated redundancy index.

| # Channel                                          | Observed basis                                                                                          |
|----------------------------------------------------|---------------------------------------------------------------------------------------------------------|
| 1 Transversal political iconography                | Appears across Peronism, nationalism, the left, agrarianism, and the military tradition                 |
| 2 School curriculum and civic calendar             | Compulsory intergenerational transmission anchored in territorial sovereignty and the Malvinas question |
| 3 Provincial executives and territorial federalism | Converts territorial salience into counted Senate support through equal provincial representation       |
| 4 Law 26,737 and the National Registry             | Principal statutory expression and source of the official data used in debate                           |
| 5 Constitutional provisions                        | High-hierarchy anchors concerning territory, resources, and indigenous communal possession              |
| 6 Provincial shielding initiatives                 | Bills and announced initiatives active at the cutoff date                                               |
| 7 Frontier security zone regime                    | Independent legal channel in force since 1944                                                           |
| 8 Territorial organizations and communities        | Local activation and access to collective judicial remedies                                             |
| 9 Federal judiciary through class action           | Demonstrated capacity to suspend and invalidate repeal by decree                                        |
| 10 Press and social media                          | Rapid translation and amplification of technical proposals into a low-complexity public frame           |



## 5. Channel-opacity selection

### 5.1 The series

Between 2011 and 2026 the regime of foreign rural land ownership was the object of four normative operations of definite direction. Ordered by public visibility of the channel employed:

| Operation                          | Date             | Channel                                        | Visibility category               | Outcome                                                                      |
|------------------------------------|------------------|------------------------------------------------|-----------------------------------|------------------------------------------------------------------------------|
| Enactment of Law 26,737            | Dec. 2011        | Statute and public debate                      | High, aligned with incumbent meme | Enacted; control case                                                        |
| Decree 820/2016                    | June 2016        | Regulatory decree without legislative debate   | Low                               | Remains in force at cutoff                                                   |
| DNU 70/2023, art. 154              | Dec. 2023        | One article within an omnibus emergency decree | Intermediate                      | Declared unconstitutional on appeal; precautionary suspension also confirmed |
| Chapter III, private-property bill | July - Aug. 2026 | Statute, public debate, repeated postponements | High                              | Withdrawn before a vote                                                      |

Visibility is classified qualitatively from three observable features: parliamentary debate, whether the land reform appeared in the instrument's title, and autonomous media coverage before enactment. The categories organize the cases but are not measurements, and the sequence is too small to estimate a causal effect.

Operation 0 is the control, and it matters. High visibility is not harmful as such: the 2011 enactment, aligned with the meme, prospered precisely through a high-visibility channel. What visibility does is not to obstruct. It is to **couple the outcome to the incumbent meme's fitness**. Opacity decouples it.

### 5.2 What the successful attempt actually did

The only surviving attempt is also the most substantive, which cuts against the intuition that deep reform requires a statute.

Decree 820/2016 raised no ceiling. It did something more effective: it **redefined what counts as foreign ownership**. It established a rebuttable presumption that a legal person is foreign when foreign nationals hold more than 51 percent of the share capital; it specified the criterion of formation of majority will; it excluded negotiable obligations and debentures from the computation until notice of conversion; it narrowed the definition of

the large permanent water bodies subject to the absolute prohibition and assigned the mapping to the Federal Water Council; and it set certificate validity at 120 days with a 20-day notification duty.

One element of that list deserves separate notice, because it is a particularly clear instance of the proposed mechanism. The decree narrowed the definition of the water bodies subject to the absolute prohibition and assigned the mapping to the Federal Water Council. The official 2025 follow-up classified the recommendation to produce the federal water map as not regularized for the 2017-2019 follow-up period. That finding does not establish that the map remained absent at the 2026 information cutoff. It does show that, during the audited period, the land regime's most categorical prohibition lacked the instrument needed to identify the properties to which it applied. Here the hollowing out did not require a redefinition to be enforced against anyone. It required a mapping obligation to remain unperformed.

In phenotypic terms the decree did not attack the norm. It attacked the **measurement artifact**: the operative definition the Registry applies in order to count. A norm whose counting criterion is loosened retains its text, its title, its symbolic prestige, and its capacity to be defended in the Senate, while losing a substantial part of its restrictive force. The meme is untouched and the vehicle is hollowed out.

This is, by a distance, the finding of greatest practical yield in the paper. Where a regime is protected by a meme of the kind mapped in Section 4, the effective route of modification does not run through the enunciation but through the measurement artifacts that translate the enunciation into administrative decisions. This too is an inference, and the evidence of efficacy consists of a single case.

### 5.3 Sovereign-side opacity: an analogy to Scott

Scott (1990) describes infrapolitics as the repertoire of everyday resistance of subalterns against power: the hidden transcript contradicting the public transcript, the weapons of the weak, foot-dragging, false compliance. The category was built to explain how the dominated erode norms they cannot confront directly.

The land case exhibits the **inverted** structure.

**The public transcript belongs to those resisting reform.** The slogan is simple, transmissible, morally charged, and requires no organization. It circulates at no cost across ten redundant channels.

The reforming State used a lower-legibility institutional transcript. Across the three mutation attempts, lower public visibility is associated with greater durability, although the small, outcome-known series cannot establish causation.

- Decree 820/2016 is a technical regulation on corporate control computation. No non-specialist could read a substantive liberalization in that text. Maximum opacity, ten years of survival.

- Article 154 of DNU 70/2023 is one article among hundreds inside a decree of general scope. Medium opacity: legible, but only to someone reading the whole. It was read, and neutralized judicially within roughly sixty days.
- Chapter III of 2026 was lodged inside a bill titled as concerning the inviolability of private property, a title that does not announce land. It is the same technique applied to the channel of maximum visibility, where it cannot work. It was read at once, translated into the slogan of territorial surrender, and withdrawn.

The translation is the mechanism, not an ornament. The chapter's content was a parametric change illegible to the public: a ceiling raised from 15 to 25 percent per province, with provincial and national executive authorization, a prohibition on foreign States, and special registration. Stated that way it activates nothing. Restated as the surrender of the territory, it adopts the exact format of the meme, which is the format in which the meme replicates at no cost. The translation operation, executed by governors, organizations, and the press within days, is precisely what the choice of title was meant to prevent.

Proposed designation: sovereign-side channel opacity. The expression denotes a State's use of low-legibility channels to pursue normative mutations that face stronger resistance when publicly exposed. It is an analogy to Scott's hidden-transcript mechanism, not a claim that conflict among constituted powers reproduces the domination structure for which Scott developed infrapolitics. Its application here is a conjecture to be tested across additional regimes and jurisdictions.

#### 5.4 A directional heuristic

The proposed mechanism is directional. As public visibility rises, political survival should depend more heavily on alignment with the incumbent meme; as visibility falls, executive control over the chosen administrative instrument should matter more. This relation is not offered as a calibrated probability model.

#### 5.5 Three general propositions

Stated so that they can be carried to other regimes and other jurisdictions.

**P-1. Channel coupling.** The higher the public visibility of the channel through which a normative mutation is attempted, the more tightly the outcome is coupled to the incumbent meme's transmission fitness, and the less it depends on the proposer's institutional capacity. Visibility is not an obstacle; it is a coupling device.

**P-2. Artifact primacy.** Where the incumbent meme's transmission fitness is high, the effective locus of modification is not the norm's enunciation but the measurement artifacts that translate the enunciation into administrative decisions. Regimes are hollowed out through definitions, not through ceilings.

**P-3. Reversibility trade-off.** A modification obtained through a low-visibility channel purchases survival at the cost of reversibility. The same opacity that shields it from resistance shields its repeal from resistance. Opaque reforms therefore have short expected half-lives across changes of administration, which is the reason a reformer who values durability faces a genuine dilemma rather than a free lunch.

P-3 also generates a policy-research implication: a liberalization obtained through regulation may have a shorter expected horizon than one enacted by statute. That durability differential should be tested rather than assumed in any long-horizon assessment.

## 6. Why the vote never happened

### 6.1 The game

Players: national senators, with utility weighting the instruction of their province's governor, attributable reputational cost, and relations with the national executive.  
Strategies: **R**, reject the opening; **A**, accompany it.

The payoff structure exhibits three asymmetries, all verifiable in the episode.

**Distributional.** The benefits of opening are concentrated and identifiable: selling owners, brokers, investing firms. The perceived costs are diffuse: loss of control, concentration, risk to water and frontiers. This is the classic configuration of concentrated interests against diffuse costs (Olson 1965; Wilson 1980), which the literature associates with difficulty in mobilizing political support even where aggregate benefits are positive. What is notable in the Argentine case is that the configuration produced the **inverse** of the usual prediction: the concentrated group lost. The public reaction of rural real estate brokers to the withdrawal, describing it as a lost opportunity, confirms that the concentrated group was mobilized and was nonetheless defeated.

**Attributability.** The Senate vote is a recorded, individual, roll-call act on a single issue. A senator voting A is exposed to an imputation of very high salience, framed in the language of the meme rather than of the regime: he handed over the land. A senator voting R faces no symmetric imputation, because no meme of comparable force imputes costs for having blocked foreign investment in land. **The attributability asymmetry is the operative mechanism of the result**, and it is a direct function of the meme's simplicity: the simpler the meme, the simpler the imputation, the easier its replication, and the higher the expected cost of deviation. The mechanism is inferred from the payoff structure, not measured.

**Reversibility.** Land has fixed supply and consolidated transactions are legally and politically costly to unwind. A voter punishing an opening punishes something irreversible; a voter punishing a blockage punishes a foregone opportunity. Electorates punish the irreversible more heavily. That last step is a conjecture: the author knows of no evidence bearing on the relative weight electorates assign to irreversibility in this setting.

### 6.2 Stability

Condition (i):  $E(R, R) > E(A, R)$ . In a population where the majority rejects, deviating to A means bearing the full imputation without obtaining the benefit of enactment, since the statute does not pass either way. This holds with margin.

Condition (ii) is not required, since (i) is strict. It is worth noting nonetheless that **even in a population where the majority accompanied**, deviating to R yields valuable positional

differentiation: the senator who rejects alone captures the entire reputation of territorial defender. A therefore cannot invade R even from high frequencies.

Conclusion: under the stated payoff assumptions, rejection R is an ESS-style candidate equilibrium against a visible-channel opening strategy (Maynard Smith and Price 1973; Maynard Smith 1982). The August 2026 withdrawal is consistent with that equilibrium but does not demonstrate it, because no roll-call vote occurred and the payoffs were not independently measured.

### 6.3 The observable is a non-event

A methodological particularity deserves exposure rather than concealment.

The theory predicts that the mutant does not invade. What was observed was not a failed invasion but that **the mutant was withdrawn before entering the population**. The coalition did not lose the vote; it avoided the vote. In the model's terms, the mutant strategy's expected payoff was low enough that its proposer preferred not to incur the cost of displaying it.

This is consistent with the prediction and, at the same time, weak evidence, for two reasons. Non-events are abundant and compatible with many theories. And the withdrawal admits low-theory alternative explanations, the most obvious being tactical management of a legislative agenda carrying four accumulated postponements.

The way to strengthen the inference is not to add interpretation to the same fact. It is to look at the series, which is what Section 5 does.

## 7. Why the institutionalist remedy is not available

### 7.1 The standard account

Levy Yeyati (2026) offers the standard account of the failure, and offers it well. The proposal correctly identified the problem, namely that a uniform quota is a blunt and blind instrument treating a long-horizon forestry project the same as a speculative purchase by an opaque fund, but it resolved the exit badly. It dismantled an imperfect mechanism without first building a better one: no federal case-by-case screening, no beneficial-ownership identification regime, no national floor for risks exceeding provincial competence, no fast track conditioned on verifiable investment commitments. The error, in that reading, was to underestimate how much the institutional architecture surrounding an opening weighs.

The diagnosis is correct as a description of the bill. The disagreement is not about the diagnosis but about its causal status.

|                    | Institutionalist account     | Channel-opacity account                                |
|--------------------|------------------------------|--------------------------------------------------------|
| Operative variable | Quality of regulatory design | Channel visibility, given the incumbent meme's fitness |
| Why 2026 failed    | Screening, beneficial        | It was presented through the                           |

|                                                                     | Institutionalist account                    | Channel-opacity account                                                                |
|---------------------------------------------------------------------|---------------------------------------------|----------------------------------------------------------------------------------------|
|                                                                     | ownership, and a federal floor were missing | channel of maximum visibility against a highly redundant meme                          |
| Why 2016 survived                                                   | Not explained                               | Low-visibility regulatory channel; the outcome remained decoupled from the public meme |
| <b>Prediction for a well-designed reform presented as a statute</b> | <b>Obtains the votes</b>                    | <b>Fails anyway</b>                                                                    |

The last row is the point. The two accounts diverge over a case that can occur and that the executive announced it would attempt. This is not a philosophical disagreement; it is a wager with an available empirical resolution, registered as P3 in Section 9.

There is besides an anomaly the institutionalist account leaves uncovered. If the absence of screening and beneficial-ownership identification were the reason for rejection, one would expect the rejecting actors to have offered to incorporate them. They did not. The governors did not demand a federal screening regime; they demanded that the regime not be touched. The defecting senators did not condition their votes on the incorporation of beneficial-ownership rules; they withdrew support. The content of the resistance was the meme, not the design. The public statements surveyed are cited at the end. What the absence of a technical counterproposal reveals about the nature of the objection is an inference, and the strongest available alternative reading is that the actors simply had no drafting capacity to offer one.

## 7.2 The discretion trade-off

A second objection is independent of the first and, in the author's assessment, more serious. It concerns not whether the remedy would pass but whether it would work.

### *The definition, not the ceiling*

Start with a comparison the Argentine debate never made. All three model regimes and Argentina face the same operative question, and it is not what percentage to set. It is: **when is a locally incorporated company to be treated as foreign?** That answer, and not the headline number, determines who the regime actually reaches.



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| Headline ceiling                                                                                                                                                                      | Threshold at which an entity becomes “foreign”                                                                                                                                                                            | Reaches leasing?                                                                                                                          |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| A No percentage ceiling.<br>u Monetary screening<br>s threshold of A\$15 million,<br>t cumulative across the<br>r investor and its<br>a associates, unindexed<br>l since 1 March 2015 | 20 percent substantial interest held<br>by one foreign person; 40 percent<br>aggregate substantial interest held<br>by two or more. Extensive<br>statutory tracing through<br>associates, holding entities, and<br>trusts | Yes. “Interest in<br>Australian land” is<br>defined broadly and<br>covers legal and<br>equitable interests<br>including certain<br>leases |
| B 25 percent of each<br>r municipality; 40 percent<br>a of that quota per<br>z nationality                                                                                            | Brazilian companies with majority<br>foreign capital are equated to<br>foreign legal persons, reaffirmed<br>unanimously by the Supreme<br>Federal Tribunal on 23 April 2026                                               | Yes. The Court<br>expressly extended<br>the restrictions to<br>leasing                                                                    |
| A 15 percent, national,<br>r provincial and<br>g departmental<br>e                                                                                                                    | More than 51 percent of share<br>capital, and the presumption<br>admits proof to the contrary<br>(Decree 820/2016)                                                                                                        | No. The regime<br>reaches ownership<br>and possession, not<br>leasing at scale                                                            |

Sources: for Australia, the Foreign Acquisitions and Takeovers Act 1975, sections 4, 6 and 12, the Foreign Acquisitions and Takeovers Regulation 2015, and official agricultural-land guidance; for Brazil, ADPF 342 and ACO 2.463; for Argentina, Decree 820/2016. Australian law reaches certain leases and licences likely to exceed five years, while the open and transparent sale guidance ordinarily uses a 30-day marketing period within the preceding six months.

Read the table by column rather than by row. Argentina has the **most restrictive headline percentage and by a wide margin the most permissive definition of whom it applies to**: a 51 percent threshold that can be rebutted, against Australia's 20 percent with statutory tracing and Brazil's equation of majority-foreign-capital domestic companies. And Argentina alone leaves leasing outside the regime, which is the route that transfers economic use without transferring title.

This is Proposition P-2 in a single table. The three countries differ far less in the number they announce than in the definition that decides who the number binds. Argentina's number is the strictest and its definition the loosest, and the definition was set by a regulatory decree in June 2016 that nobody debated, while Brazil's equivalent question went to its supreme court and was decided in public in April 2026. Ten years after the Argentine decree, it is still standing.

The outcome data illustrate why definitions deserve at least as much attention as headline ceilings. Foreign ownership reaches roughly 13.0 percent of Australian agricultural land as of 30 June 2025, compared with roughly 5 percent in Argentina. The figures use different denominators and institutional classifications and therefore do not support a causal ranking of the two regimes. They do show that a stricter announced ceiling does not mechanically imply a higher observed foreign-owned share, and they reinforce the need to examine the definitions and tracing rules that determine who is counted.

#### *What the Australian regime actually is*

The comparative literature invoked in the Argentine debate describes Australia as the complete case: it opens the door but reviews sensitive transactions carefully through a foreign investment review body, and treats state capital differently. That description is accurate as far as it goes, and it is the part of the Australian regime that a drafting committee would copy. It is also the part that does least of the work.

The architecture, as it stands in the instruments and official guidance, is as follows. The Foreign Investment Review Board is a non-statutory advisory body; the decision belongs to the Treasurer. The screening threshold for agricultural land is generally A\$15 million on a cumulative basis, with treaty-partner thresholds varying and foreign government investors subject to a zero threshold. The requirement that land be exposed to an open and transparent sale process, giving Australian buyers an equal opportunity, exists in published administrative guidance rather than in the statute. The guidance states that marketing for at least 30 days within the preceding six months would ordinarily be unlikely to raise national-interest concerns, while allowing equivalent processes and specified exceptions.

Then come the three facts that matter, and none of them appears in the account that circulates in Argentina.

**First, the national interest test is not defined in the Act.** Its factors, the character of the investor, competition effects, impact on the economy and the community, national security, and other government policy including tax, appear in administrative Guidance Notes. The list is open and non-exhaustive. Australia's own Senate Economics References Committee put it plainly: the term "national interest" is "inadequately defined, if it is defined at all, by

the Act,” and the framework leaves the final judgment to the Treasurer without requiring clear reasons.

**Second, the decision is excluded from merits review, and largely from judicial review.** Decisions under the Foreign Acquisitions and Takeovers Act are expressly excluded from the Administrative Decisions (Judicial Review) Act 1977 by Schedule 1, paragraph (h). What remains is the residual constitutional jurisdiction under section 75 of the Constitution and section 39B of the Judiciary Act 1903, which reaches legality, jurisdictional error and procedural fairness but **not the merits of a national interest assessment**. No case of judicial review of a Treasurer’s decision under the Act, with citation and year, could be located, and no administrative tribunal pathway was identified. Whether any such case exists is therefore an open question here rather than a settled negative.

**Third, the Treasurer is under no general legal duty to publish reasons.** Aggregate statistics are published annually; individual reasons appear only when a case is politically salient enough to prompt a public statement, as with the November 2015 refusal of the S. Kidman & Co. sale on national security grounds relating to the Woomera Prohibited Area.

Put those three together and the standard Argentine reading of Australia inverts. **Australia is not a regime of legally bounded discretion. It is a regime of very broad and largely unreviewable legal discretion, moderated by things that are not in the statute at all.**

#### *The rejection rate, and what it reveals*

One further datum sharpens the institutional comparison. Across the 2012-13 to 2015-16 period the Australian regime issued between roughly 12,700 and 41,500 decisions a year across all categories, with three to five formal rejections annually. In 2017-18 there were two rejections in total, one involving agricultural land intended for residential development. The figures come from official annual reports and professional analyses of them.

A system that formally refuses five applications out of tens of thousands is not filtering at the decision point. The filtering happens earlier, in informal pre-application negotiation over conditions, withdrawal of applications likely to fail, and the shaping of proposals to what the officials involved are known to accept. Kidman itself followed this pattern: after the Treasurer’s announcement the applicants withdrew rather than being formally refused.

That is not a criticism of Australia. It suggests that much screening occurs before a formal refusal, through pre-application negotiation, conditions, withdrawal, and proposal design. For the transplant question, the relevant object is therefore not only statutory authority but also a practice of negotiation between officials and applicants over high-value decisions, often without published reasons or merits review.

In Australia that practice is disciplined by an ecosystem: an independent audit office with a record of publishing critical findings, parliamentary committees with real scrutiny capacity, an administration with the technical capacity to operate an asset register and cross-check it against cadastral and financial data, an active press, and courts whose residual legality

jurisdiction makes manifest abuse of power costly even though merits are unreviewable. Remove those and the same practice, executed under the same statutory text, is something else entirely.

### *The proposition*

**A quota and a screening regime are not ranked independently of the administrative environment.** A quota is blind, and blindness is its defect: it treats unlike cases alike. But blindness is also a property, because a blind rule cannot be sold. A screening regime is sighted, and sight is its virtue: it distinguishes a forestry project from a speculative purchase. But sight requires a person who looks, and that person exercises discretion over a decision of very high private value in a market of fixed supply.

The concrete form the objection takes in Argentina is worth stating plainly. The withdrawn Chapter III already required, for acquisition by foreign-capital companies, consent of the province and authorization by the national executive, and it preserved the provinces' own regulatory power. A regime built on the institutionalist recommendation would add federal screening, ministerial determinations on beneficial ownership, findings on frontier, basin, and strategic infrastructure sensitivity, and a conditioned fast track requiring verification of investment and employment commitments over time.

The proposed design would distribute approval authority across provincial consent, federal screening, beneficial-ownership determinations, sensitivity findings, and continuing verification of investment commitments. Each decision concerns high private value, low public visibility, and technically costly scrutiny. The relevant claim is not that corruption follows automatically, but that multiplying such points increases governance demands and creates opportunities for inconsistent or self-interested administration unless countervailing institutions are effective.

Argentine political vernacular often describes this governance risk as the creation of kioscos, separate offices controlling benefits that only they can grant. The term is used here to identify a testable institutional risk, not to assert that any official or agency has extracted rents.

One piece of Argentine evidence bears directly on the premise, and it is domestic rather than comparative. The objection to the argument just made would be that capacity can be built alongside the new approval points. Argentina, however, already operated a discretionary approval stage within this regulatory field: the exceptional prior-conformity procedure for frontier security zones. The official follow-up classified the recommendation on investment-project viability controls as not regularized, and contemporaneous coverage quotes the underlying finding that one hundred percent of submitted projects were approved without technical evaluation during the audited period. That evidence does not establish that a new screening regime would be captured, nor that all administrative approvals lacked evaluation. It establishes that this approval point did not function as the prescribed evaluative filter in the period examined, which weakens the assumption that additional approval points would function as effective filters merely by being created.

P-4. The discretion trade-off. Replacing a rule with case-by-case discretion can improve allocative accuracy while also creating governance risks at approval points. The net comparison depends on the receiving environment's non-textual supports: independent audit, parliamentary scrutiny, administrative capacity, press attention, reason-giving practices, and legality review. Where those supports are weak, a blind rule may sometimes outperform a more tailored regime. This is a conditional and falsifiable hypothesis. The Australian architecture supports the premise that screening depends on non-textual institutional supports; it does not establish rent extraction in Argentina or in other low-capacity settings.

Two clarifications preserve the scope of the claim.

First, this is not an argument for the status quo. Section 3 identifies a structural gap at the departmental margin, and the comparative table shows that Argentina combines a restrictive headline percentage with a comparatively permissive corporate-control definition.

Second, the proposition must not be allowed to prove too much. Taken to its limit it would counsel against all administrative discretion, which is neither defensible nor the author's position. Its proposed domain is decisions with four joint features: high private value, low public visibility, technical content that raises the cost of external scrutiny, and the absence of an objective benchmark of correctness. Outside that domain it does not apply.

### 7.3 What follows

The two objections combine into a research agenda rather than a settled policy conclusion. The channel-opacity account predicts that a technically improved statutory reform may still encounter the same visible-channel resistance. The discretion trade-off separately predicts that any screening model must be evaluated together with its oversight environment. Both propositions remain open to comparative and prospective testing.

One candidate for prospective evaluation is an administrative and additive sequence: strengthen beneficial-ownership identification within the existing Registry, draw on tax and anti-money-laundering infrastructure, publish departmental-level Registry data, and build analytical capacity before changing the ceiling. The framework predicts that this route would face less symbolic resistance because it operates on measurement artifacts and can be framed as enforcing, rather than weakening, the land-sovereignty norm. Its effectiveness and integrity would still require independent evaluation.

The route's weakness is P-3: what is built administratively can be dismantled administratively. Durability would require eventually converting the capacity into statute, and by then the statute would be ratifying an existing practice rather than promising a future one, which is a materially different legislative proposition.

## 8. Research and policy implications

Three implications follow for research and policy analysis of foreign-capital acquisitions of Argentine rural land. They are analytical propositions, not transaction-specific legal advice.

First, analysis should distinguish the aggregate ceiling from procedural and temporal uncertainty. The national stock stands well below the aggregate ceiling, while thirty-one departments reportedly exceed the local threshold. At the same time, the regime's current force reflects an appellate merits judgment, a related precautionary ruling, and a partially granted extraordinary appeal lodged before the Supreme Court. Any transaction-level assessment would require current docket verification, department-specific Registry data, and advice based on the parties and transaction actually involved.

Second, the framework predicts that visible legislative liberalization will remain politically difficult over the stated horizon, while lower-visibility administrative changes may be less durable across administrations. This is a registered prediction, not a recommended investment strategy.

Third, policy analysis should examine operative definitions as closely as headline ceilings. Corporate-control tests, financial instruments, water-body classifications, provincial hectareage equivalences, and Registry procedures determine whether a transaction enters the regime. The 2016 decree shows that those measurement artifacts can change through regulation even when the statutory text remains untouched.

## 9. Pre-registered predictions

Finalized in version 1.4 as of 6 August 2026, with outcomes unknown at that date and explicit falsification conditions. Later revisions must preserve this baseline and record any outcome or amendment transparently.

### P1. Supreme Court

**Prediction.** The Supreme Court will not validate in full the repeal of Law 26,737 effected by article 154 of DNU 70/2023. The highest-probability outcome is the absence of a merits ruling within the prediction horizon; the second is a ruling confirming the unconstitutionality of repeal by decree without pronouncing on the merits of the regime.

**Basis.** The judicial channel is one of the meme's ten phenotypic expressions and has already demonstrated autonomous neutralizing capacity: the appellate declaration of unconstitutionality has kept the repeal ineffective since March 2024. A validating merits ruling would expose the court to the reputational cost described in Section 6.1, in a case where abstention is procedurally available.

Procedural baseline. Official sources record that the National Executive's extraordinary appeal was partially granted with suspensive effect and that the case was lodged before the Supreme Court on 15 May 2024. P1 is evaluated against that verified baseline; any later procedural development must be recorded before scoring the prediction.

**Falsifier.** A Supreme Court judgment before 31 December 2027 upholding the repeal in its entirety.

**Declared confidence:** 0.80.

## P2. Channel of the next attempt

**Prediction.** The next effective attempt to modify the regime will use a low-visibility channel: no parliamentary debate, no land-specific title, and no autonomous pre-enactment media controversy. Candidate instruments include a regulatory decree, a Registry resolution, an administrative redefinition of corporate-control or water-body computation criteria, or inclusion within an instrument whose title does not mention land.

**Falsifier.** That the next attempt is a stand-alone bill, titled as a reform of the rural land regime, introduced before 6 August 2028.

**Declared confidence:** 0.70.

## P3. Discriminating test against the institutionalist account

**Prediction.** If a bill reforming the rural land regime is introduced incorporating the three components the institutionalist critique identified as missing, namely federal case-by-case screening, mandatory and public beneficial-ownership identification, and a national protective floor for frontiers, basins, and strategic infrastructure, and it is processed through a channel of high public visibility, **it will not obtain the necessary votes in the Senate.**

**Basis.** Design was not the binding constraint. Section 7.1 documents that the resistance formulated no design objections and offered no technical counterproposals.

**Falsifier.** Senate passage, before 6 August 2029, of a reform containing those three components processed through the ordinary public channel.

**Note:** this is the paper's highest-value prediction because it discriminates between two rival accounts making opposite forecasts about the same observable event. If it holds, the institutionalist account is incomplete. If it is falsified, the channel-opacity framework is seriously compromised.

**Declared confidence:** 0.65.

## P4. Provincial phenotypic expansion

**Prediction.** At least three provinces will enact, not merely introduce, restrictive norms on foreign ownership of fiscal or rural land before 31 December 2027. Declared baseline as of 6 August 2026: zero provincial norms enacted in this matter during 2026; at least one bill was remitted to the Neuquén legislature on 3 August 2026 and initiatives were announced in Tierra del Fuego.

**Basis.** A meme under threat in one channel expands its expression in alternative channels. This is the most characteristically phenotypic prediction in the set and the easiest to verify.

**Falsifier.** Fewer than three provinces within the stated period.

**Declared confidence:** 0.60.



## P5. Reversibility of an opaque modification

**Prediction.** If a modification of the regime is effected through a low-visibility channel, as defined in P2, before 6 August 2028, it will be reversed or materially narrowed within twenty-four months of the next change of national administration.

**Basis.** P-3, the reversibility trade-off. Opacity that shields from resistance also shields the repeal from resistance.

**Falsifier.** Survival of such a modification beyond twenty-four months following a change of administration.

**Declared confidence:** 0.55.

## 10. Scope, validation status, and registered tests

This is a theoretical case study and rival-account test, not an empirical validation of a calibrated channel-opacity index. Its historical and legal sequence is anchored in official instruments, parliamentary materials, judicial sources, Registry data, and dated public reporting. The proposed causal mechanism is inferred from a four-operation series with one surviving mutation and outcome-aware case selection.

The revisions in this version remove discretionary numerical capacity weights, visibility scores, fitted survival probabilities, and the departmental implementation estimate. The remaining channel map and visibility categories are descriptive. The ESS formulation is an equilibrium hypothesis conditional on stated payoffs, not an observed result. The analogy to Scott and the discretion trade-off are explicitly marked as conjectures requiring comparative evidence.

The paper's prospective contribution lies in Section 9. Its five dated predictions state observable horizons and falsifiers. Subsequent versions should preserve the original prediction text and record outcomes transparently. No causal estimate, transaction-specific legal opinion, or empirically validated policy ranking is claimed here.

Changes in version 1.5. This version adds findings from the national external audit of the National Registry of Rural Land to Sections 3.1, 5.2, and 7.2, together with the qualifications those findings require. Nothing was removed, no prediction text was altered, and no proposition was strengthened beyond what the added evidence supports. The audit bears asymmetrically on the argument: it supplies domestic evidence for the premise of P-4, that the operative constraints on administrative discretion are institutional rather than textual, and records that the recommendation to regularize a mapping obligation created by Decree 820/2016 remained unfulfilled during the follow-up period. That is an implementation-side instance consistent with the artifact-primacy mechanism of P-2, not independent proof of it. The audit does not bear on the channel-opacity series itself, whose limitations are unchanged.

## Epistemological positioning

This paper is situated within the Lakatosian research program Extended Phenotype Theory of Law (EPT). The hard core treats legal norms and institutions as phenotypic expressions shaped partly by selection over transmissible normative information. Channel-opacity selection, artifact primacy, sovereign-side opacity, and the registered predictions belong to the program's protective belt: they are revisable and falsifiable hypotheses whose failure would require modification or abandonment without, by itself, deciding the hard core (Popper 1959; Campbell 1974; Lakatos 1978; Hull 1988).

## AI disclosure

Artificial-intelligence tools were used for research support, source location, document extraction, and editorial revision. The theoretical arguments, source choices, empirical interpretations, and conclusions are the author's responsibility. No AI-generated simulation or synthetic empirical result is reported as evidence.

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Note on use. The official AGN executive report and press card were consulted directly. They support the follow-up period, the status of the thirteen recommendations, the unregularized federal water map, the absent consolidated frontier-zone database, and the unregularized viability-control recommendation. The more granular statement that all submitted investment projects were approved without technical evaluation, and the archival detail concerning files processed between 1989 and 2006, are attributed to the El Auditor coverage, which quotes the underlying report. None of these historical findings is treated as proof of the registry's condition at the 6 August 2026 information cutoff.

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